VISIVAULT ANALYTICS

Prairie Pulse E-Bikes
Executive Financial Analysis

Integrated financial statements, ratio analysis, 12-month forecast and financial management recommendations

⚠ **SIMULATED FINANCIAL INFORMATION - illustrative Calgary management accounts, not Prairie Pulse E-Bikes' actual financials**

Prepared by VisiVault Analytics Ltd. · October 2026 · Proof of concept
Historical period Jan 2024 - Sep 2026 (simulated) · Forecast Oct 2026 - Sep 2027
Product and price facts from public retailer listings (retrieved 2026-10-08); every sales, cost and accounting record is synthetic.

Important notice

These are simulated financial statements. They were generated by double-entry accounting from VisiVault's synthetic demonstration datasets and documented assumptions. They do not describe Prairie Pulse E-Bikes' actual revenue, profitability, assets, liabilities, cash flows or financing, and no finding in this report is evidence of Prairie Pulse E-Bikes' financial condition. They are illustrative Calgary branch management accounts, not consolidated corporate financial statements. Forecast figures are projections, not historical fact.

1. Executive summary

NET REVENUE (TTM)	EBITDA (TTM)	NET INCOME (TTM)	CASH 30-SEP-2026
$3.14M	**$46,218**	**-$7,541**	**$354,459**
gross margin 35.6%	1.5% of revenue	net margin -0.2%	revolver nil; peak $204,000

CASH CONVERSION CYCLE	DEBT SERVICE COVER (TTM)	BASE FORECAST NET INCOME	PEAK BORROWING (FORECAST)
56 days	**0.74x**	**$33,876**	**$197,000**
DIO 84 · DPO 30	below a typical 1.25x covenant	Oct-26 to Sep-27 (FORECAST)	Conservative $237,000

- **The branch earns a healthy gross margin but almost no net profit.** TTM gross margin is 35.6%, but fixed store costs (wages, rent, D&A) absorb it: EBITDA is $46,218 and net income -$7,541. FY2024 net income was -$10,841 and FY2025 -$23,732.
- **Service carries the business.** Maintenance and repair generated $389,893 of TTM gross profit on $638,289 revenue (61% margin), versus $728,730 from retail; retail categories are loss-making once fixed costs are allocated (Section 9).
- **Profit is not cash.** The pre-season build ties up cash every February-April: inventory peaked at $678,710 (2024-03) and the revolver at $204,000, while summer cash reached $478,263 - more than the business needs.
- **Debt service is the main financial risk.** TTM DSCR is 0.74x and interest cover 0.40x: branch EBITDA does not cover the $50,000/yr of allocated term-loan principal; reserves fund it.
- **Base forecast (Model 1 volumes):** net revenue $3.27M, net income $33,876, peak revolver $197,000; Conservative -$97,641, Optimistic $178,908. All scenarios stay within the $350K line.
- **Largest levers:** service growth into unapplied technician hours, discount discipline, off-season staffing and freight, and inventory policy/terms that release $146,645+ of cash (Section 10).

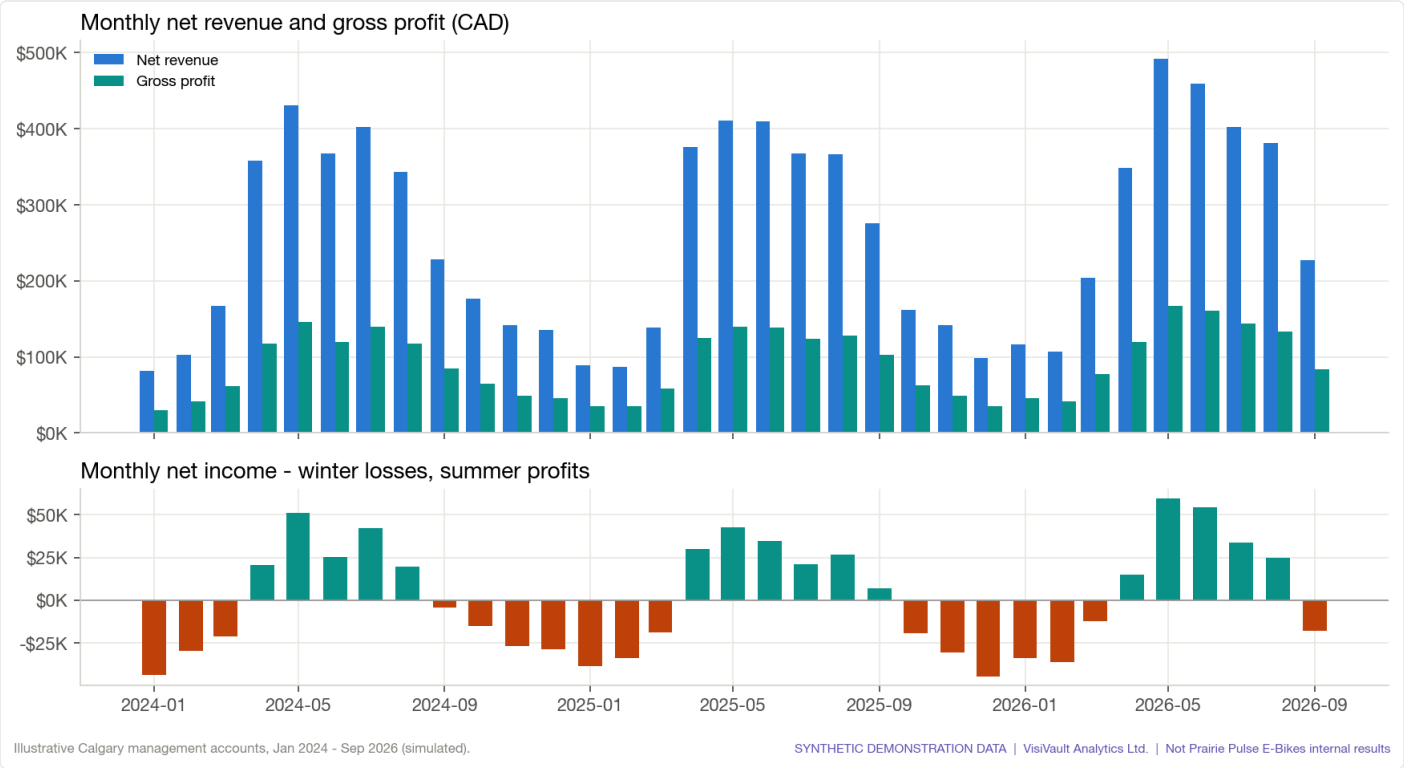
All 10 mandatory validation checks pass (Reconciliation & Validation Report): 103,614 ledger lines balance, every trial balance balances, A = L + E in every month, cash-flow closing cash equals balance-sheet cash, inventory and revenue reconcile to operational records, and the forecast stays integrated under 60 random assumption sets and in Excel recalculation.

2. Scope and basis of preparation

Item	Assumption
Reporting entity	Prairie Pulse E-Bikes () as a branch of a multi-store business: illustrative MANAGEMENT ACCOUNTS, not consolidated corporate statements.
Basis	Accrual basis, double entry, CAD. Revenue at list price less discounts; retail at point of sale, service on completion; GST-exclusive.
Inventory	Standard (purchase) cost per SKU - equals PO unit cost; shrinkage and damaged returns written off through cost of sales.
Allocated equity	$600,000 head-office investment at 31 Dec 2023; further contributions only if the revolver is exhausted.
Allocated debt	$250,000 share of corporate term debt, 60-month amortisation, prime + 2.25%; $350,000 inventory revolver at prime + 1.00% with a daily sweep (floor $15,000) and a month-end band (min $60,000, repay above $160,000).
Corporate overhead	$650/month shared-services charge (part of the operational admin line), due to head office, settled quarterly.
Shared assets	Store fit-out, workshop equipment and POS/IT are recorded as Calgary assets; e-commerce platform and brand assets stay at head office (covered by the allocation).
Income tax	23% combined federal + Alberta general rate on branch profit, YTD true-up, loss carry-forward; no deferred tax (CCA vs depreciation) modelled.
Imputed carrying cost	The operational dataset's inventory holding cost includes a cost-of-capital element; it is excluded here and replaced by actual interest.
Tender settlement	Cash/e-transfer/gift card same day; debit T+1; credit T+2; consumer financing T+5; business/fleet Net 30; manufacturer warranty claims 45 days.
Suppliers	Net 30 brands/distributors paid 30 days after receipt; 'Prepaid/Net 15' brands: 50% deposit on order, balance 15 days after receipt.

Sub-ledgers: receivables by tender counterparty (processor, financing partner, fleet customers, manufacturers) and payables by supplier/vendor reconcile to their control accounts at every month-end. Chart of accounts: 54 accounts (see the statements workbook).

3. Financial performance

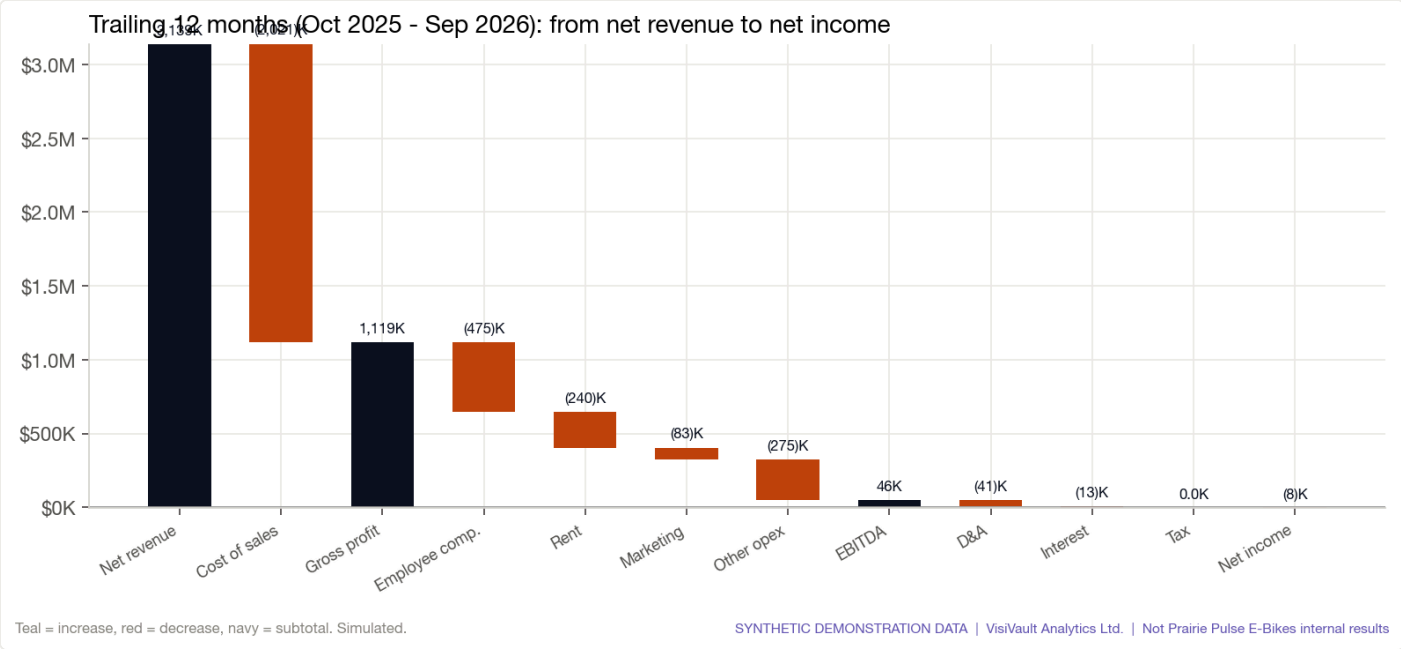


Monthly revenue, gross profit and net income (simulated).

Income statement - annual and trailing twelve months (CAD)

Line (CAD)	FY2024	FY2025	YTD Sep-2026	TTM Sep-2026
Bicycle sales revenue	2,270,411	2,208,322	2,081,299	2,361,211
Accessories and parts revenue	249,094	245,267	230,016	280,383
Maintenance and repair revenue	543,550	597,684	550,179	638,289
Gross revenue	3,063,055	3,051,273	2,861,493	3,279,883
Sales discounts & promotional allowances	(59,747)	(58,916)	(51,081)	(60,893)
Sales returns & refunds	(68,771)	(69,561)	(72,628)	(79,576)
Net revenue	2,934,536	2,922,797	2,737,784	3,139,415
Cost of goods sold (total cost of sales)	(1,918,321)	(1,890,346)	(1,764,985)	(2,020,792)
Gross profit	1,016,215	1,032,451	972,799	1,118,623
Employee compensation	(393,144)	(436,764)	(376,831)	(474,508)
Rent and occupancy	(228,000)	(234,840)	(181,414)	(240,124)
Utilities	(19,891)	(19,300)	(13,697)	(19,253)
Marketing and advertising	(75,664)	(79,546)	(67,311)	(82,534)
Administrative expenses (incl. insurance & corporate allocation)	(72,795)	(73,908)	(56,534)	(75,078)
Freight and logistics	(70,894)	(63,761)	(55,675)	(68,594)
Merchant and financing fees	(60,582)	(57,435)	(53,922)	(62,590)

Line (CAD)	FY2024	FY2025	YTD Sep-2026	TTM Sep-2026
Inventory storage, handling & obsolescence	(49,863)	(41,107)	(38,492)	(49,724)
Total operating expenses (before D&A)	(970,832)	(1,006,661)	(843,876)	(1,072,405)
EBITDA	45,383	25,790	128,922	46,218
Depreciation and amortization	(33,367)	(36,277)	(31,929)	(41,206)
EBIT (operating profit)	12,016	(10,488)	96,993	5,012
Interest expense	(22,857)	(13,244)	(9,870)	(12,553)
Profit before tax	(10,841)	(23,732)	87,123	(7,541)
Income taxes	0	0	0	0
Net income	(10,841)	(23,732)	87,123	(7,541)

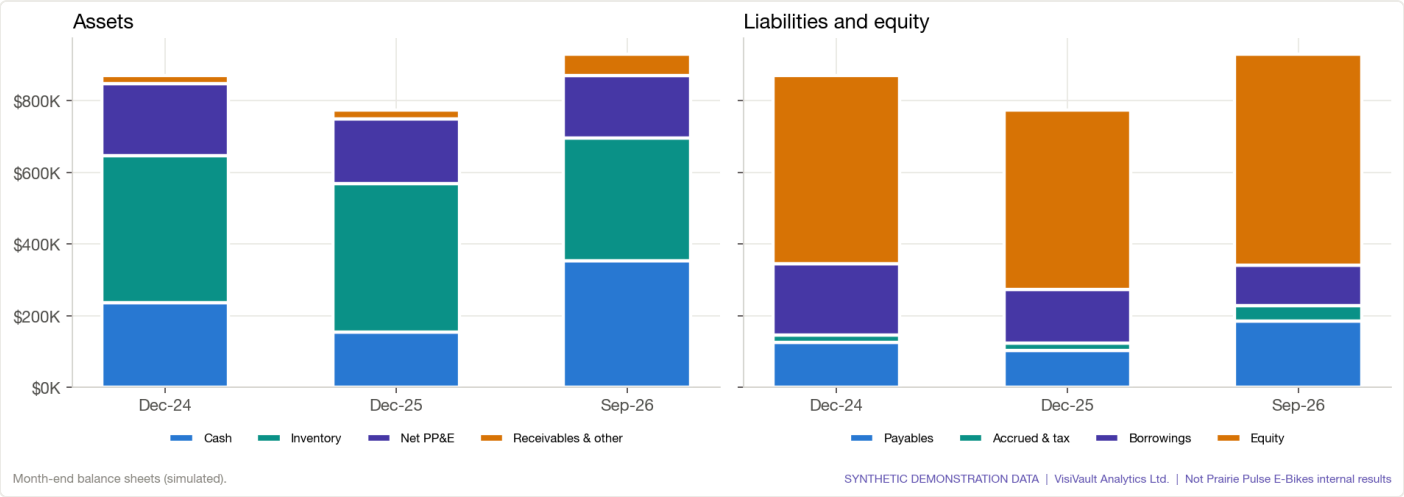


Revenue is highly seasonal: May-August deliver most of the year's profit and November-February lose money. Gross margin improved from 34.6% (FY2024) to 35.6% (TTM). Discounts and returns cost $140,469 TTM (4.3% of gross revenue). Interest fell from $22,857 in FY2024 to $12,553 TTM as the term loan amortised.

4. Financial position

Balance sheet (CAD)

Line (CAD)	31-Dec-2024	31-Dec-2025	30-Sep-2026
Cash and cash equivalents	235,783	153,494	354,459
Accounts receivable	14,872	13,185	22,724
Inventory (merchandise at cost)	410,468	415,275	342,555
Service work in progress	1,715	900	8,664
Prepaid expenses & supplier deposits	7,738	8,392	26,793
Sales tax recoverable	0	2,913	0
Total current assets	670,577	594,159	755,195
Net property, plant and equipment	200,894	180,917	174,188
TOTAL ASSETS	871,471	775,077	929,383
Accounts payable	126,139	103,089	185,925
Accrued expenses (payroll & head office)	17,588	20,199	30,310
Income taxes payable	-0	-0	-0
Sales tax payable	2,224	0	11,737
Short-term borrowings - revolving line of credit	-0	-0	-0
Current portion of long-term debt	50,000	50,000	50,000
Total current liabilities	195,951	173,288	277,972
Long-term debt (non-current portion)	150,000	100,000	62,500
TOTAL LIABILITIES	345,951	273,288	340,472
Share capital / allocated corporate equity	600,000	600,000	600,000
Retained earnings	(74,480)	(98,212)	(98,212)
Current period earnings	-0	-0	87,123
TOTAL EQUITY	525,520	501,788	588,911
TOTAL LIABILITIES AND EQUITY	871,471	775,077	929,383

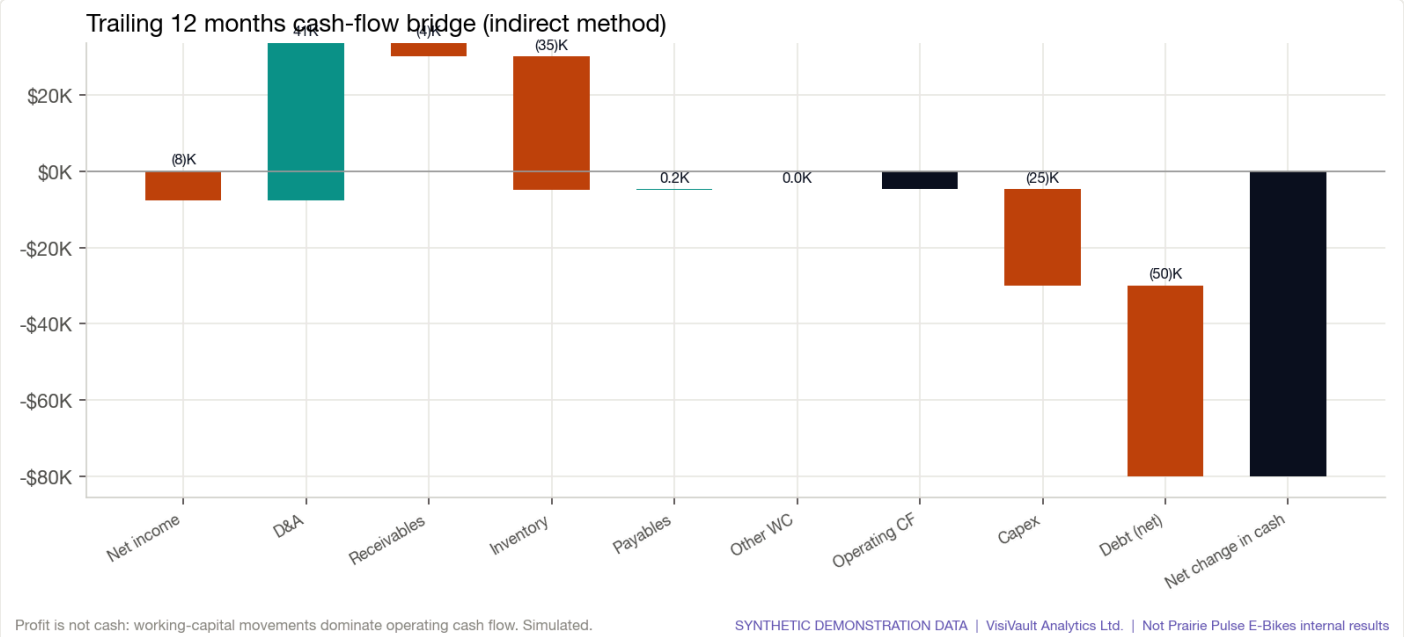


Inventory is the dominant operating asset. Equity of $588,911 is below the $600,000 contributed because of cumulative losses (pre-opening losses and FY2024-FY2025), partly recovered in 2026. Borrowings are the amortising term loan only at 30 September, after the seasonal revolver was repaid in May.

5. Cash flow

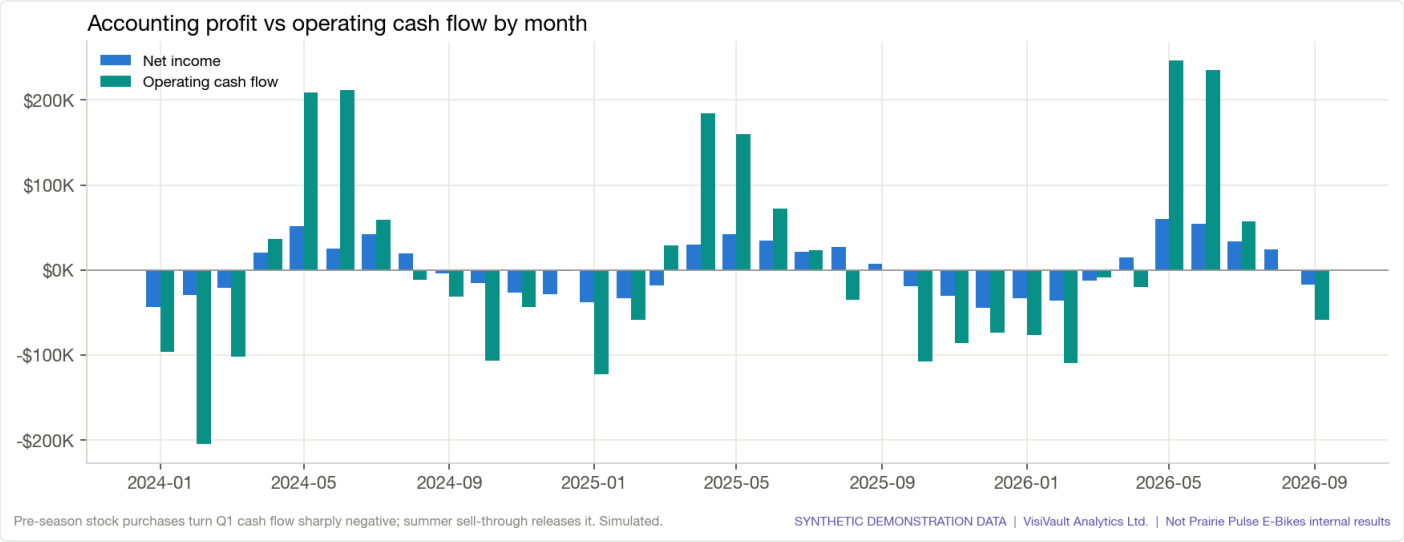
Cash flow statement - indirect method (CAD)

Line (CAD)	FY2024	FY2025	YTD Sep-2026
Net income	(10,841)	(23,732)	87,123
Depreciation and amortization	33,367	36,277	31,929
(Increase) decrease in accounts receivable	(14,872)	1,688	(9,539)
(Increase) decrease in inventory	(172,770)	(4,807)	72,720
Increase (decrease) in accounts payable	70,863	(23,049)	82,836
Other working capital adjustments	10,359	(2,366)	(1,403)
Net cash from operating activities	(83,895)	(15,989)	263,665
Capital expenditures (leasehold & systems)	0	(6,500)	(18,000)
Equipment purchases	(14,500)	(9,800)	(7,200)
Net cash used in investing activities	(14,500)	(16,300)	(25,200)
New borrowings - revolving line of credit	223,000	54,000	287,000
Repayments - revolving line of credit	(223,000)	(54,000)	(287,000)
Term loan repayments	(50,000)	(50,000)	(37,500)
Capital contributions from head office	0	0	0
Distributions to head office	0	0	0
Net cash from (used in) financing activities	(50,000)	(50,000)	(37,500)
Net change in cash	(148,395)	(82,289)	200,965
Opening cash	384,178	235,783	153,494
Closing cash (cash flow statement)	235,783	153,494	354,459



Profit is not cash: working-capital movements dominate operating cash flow. Simulated.

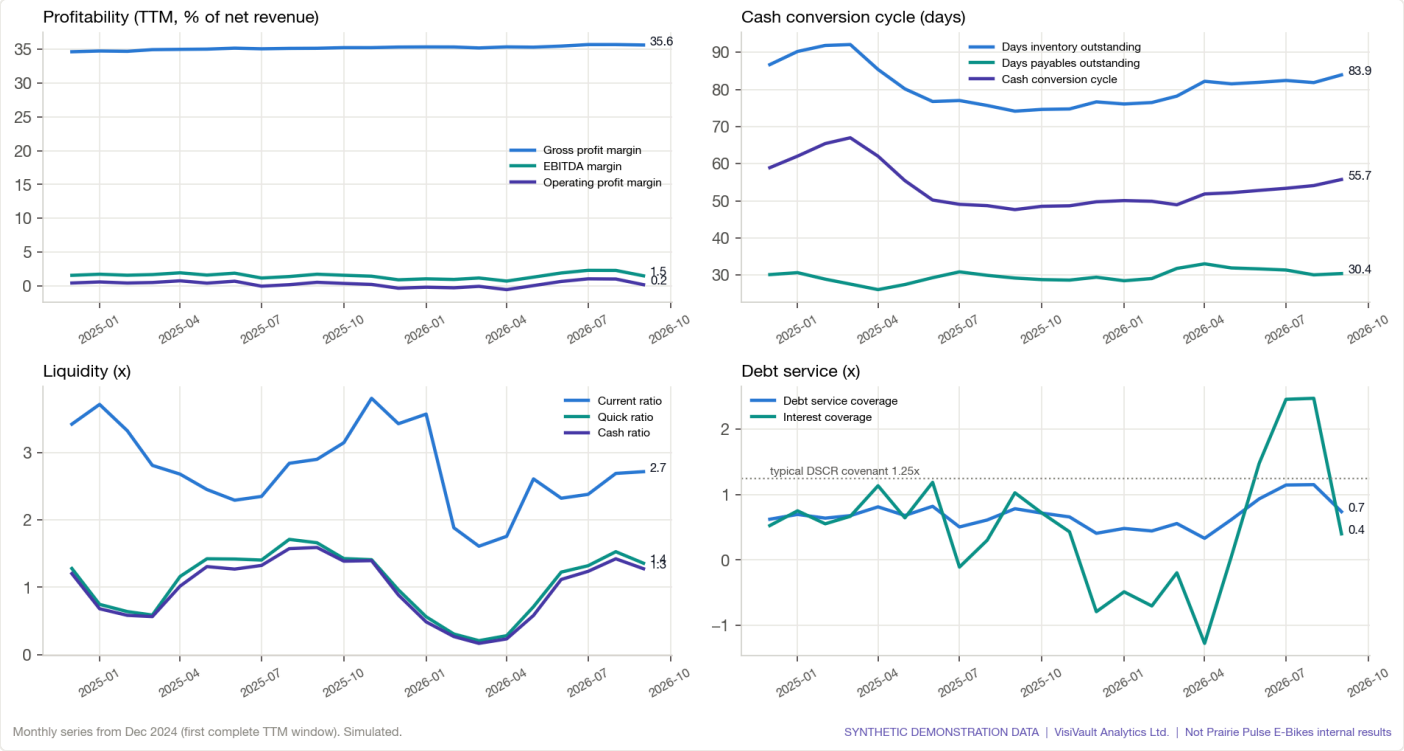
SYNTHETIC DEMONSTRATION DATA | VisiVault Analytics Ltd. | Not Prairie Pulse E-Bikes internal results



Cash flow vs accounting profit. FY2024 lost $10,841 but operating cash flow was -$83,895 because inventory grew $172,770. In 2026 year-to-date, net income of $87,123 produced operating cash of $263,665 as inventory was run down and supplier credit increased. The daily cash sweep kept the bank account positive every day (minimum $20,099 on 2024-04-02).

6. Financial ratio analysis

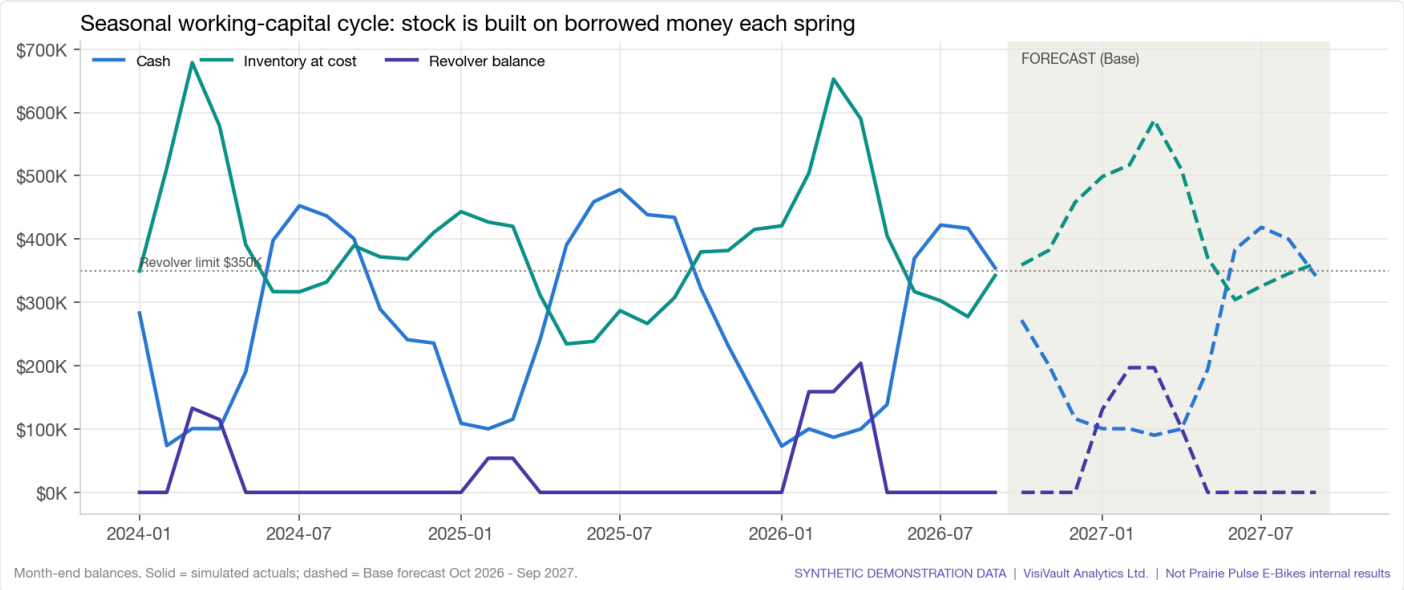
Ratio	FY2024	FY2025	TTM Sep-2026	change_vs_FY2025	direction
Gross profit margin	34.63	35.32	35.63	0.31	improved
Operating profit margin	0.41	-0.36	0.16	0.52	improved
Net profit margin	-0.37	-0.81	-0.24	0.57	improved
EBITDA margin	1.55	0.88	1.47	0.59	improved
Return on assets	-1.13	-2.68	-0.84	1.84	improved
Return on equity	-2.05	-4.54	-1.44	3.10	improved
Current ratio	3.42	3.43	2.72	-0.71	deteriorated
Quick ratio	1.28	0.96	1.36	0.40	improved
Cash ratio	1.20	0.89	1.28	0.39	improved
Working capital	474,626	420,871	477,223	56,352	improved
Inventory turnover	4.21	4.76	4.35	-0.41	deteriorated
Days inventory outstanding	86.68	76.64	83.92	7.28	deteriorated
Days sales outstanding	2.36	2.50	2.21	-0.29	improved
Days payables outstanding	30.12	29.41	30.39	0.98	improved
Cash conversion cycle	58.91	49.73	55.74	6.01	deteriorated
Asset turnover	3.06	3.30	3.48	0.18	improved
Debt-to-equity	0.38	0.30	0.19	-0.11	improved
Interest coverage	0.53	-0.79	0.40	1.19	improved
Debt service coverage	0.62	0.41	0.74	0.33	improved



- **Gross profit margin** (35.63%, improved vs FY2025): Pricing power, discount discipline and product/service mix after all cost of sales. *Action:* Tighten discretionary e-bike discounting, shift mix to higher-margin brands/accessories, negotiate volume rebates.
- **Operating profit margin** (0.16%, improved vs FY2025): Profit left after running the store, before financing and tax. *Action:* Flex seasonal staffing to demand, convert unapplied technician time to billable service, review freight and storage spend.
- **Net profit margin** (-0.24%, improved vs FY2025): Bottom-line return on each dollar of revenue after interest and tax. *Action:* Combine margin and opex actions; reduce revolver usage to cut interest.
- **EBITDA margin** (1.47%, improved vs FY2025): Cash-like operating earnings before depreciation; comparable across financing structures. *Action:* Same levers as operating margin; EBITDA excludes the fixed depreciation of the fit-out.
- **Return on assets** (-0.84%, improved vs FY2025): How productively the branch uses the assets it holds (mostly inventory). *Action:* Release inventory (the largest asset) through seasonal reorder points and clearance of slow movers.
- **Return on equity** (-1.44%, improved vs FY2025): Return earned on the head-office capital allocated to Calgary. *Action:* Improve profit and return surplus summer cash to head office instead of holding idle balances.
- **Current ratio** (2.72x, deteriorated vs FY2025): Ability to meet obligations due within a year from short-term assets. *Action:* Healthy; avoid letting seasonal revolver draws push it below 1.5x.
- **Quick ratio** (1.36x, improved vs FY2025): Liquidity without relying on selling inventory. *Action:* Hold a minimum cash buffer; quick ratio dips during the pre-season build when cash funds stock.
- **Cash ratio** (1.28x, improved vs FY2025): Most conservative liquidity test. *Action:* Summer cash peaks exceed needs - sweep surplus to head office or prepay the term loan.
- **Working capital** (477,223.38, improved vs FY2025): Net short-term resources funding day-to-day operations. *Action:* Size the revolver to the Feb-Apr working-capital peak; avoid tying cash in slow-moving SKUs.
- **Inventory turnover** (4.35x, deteriorated vs FY2025): How many times stock is sold and replaced per year. *Action:* Order to seasonal demand (Model 4 reorder points), cut winter cover, clear aged stock before spring.
- **Days inventory outstanding** (83.92 days, deteriorated vs FY2025): Days of stock held; ties up cash and drives carrying cost. *Action:* Target fewer days on hand for C-class SKUs and international brands with long lead times.
- **Days sales outstanding** (2.21 days, improved vs FY2025): Days to collect card, financing, fleet and warranty receivables. *Action:* Already short (card settlements); keep fleet/warranty claims on 30/45-day follow-up.
- **Days payables outstanding** (30.39 days, improved vs FY2025): Days of supplier credit used to fund inventory. *Action:* Move 'Prepaid/Net 15' brands to Net 30 and remove deposits where volume justifies it.
- **Cash conversion cycle** (55.74 days, deteriorated vs FY2025): Days between paying for stock and collecting from customers; lower frees cash. *Action:* Lower DIO and raise DPO - every 10 days of CCC is roughly $50K of cash at the current cost base.
- **Asset turnover** (3.48x, improved vs FY2025): Revenue generated per dollar of assets. *Action:* Grow sales per square foot (service, accessories attach) without adding inventory.

- **Debt-to-equity** (0.19x, improved vs FY2025): Reliance on borrowed versus head-office capital. *Action:* Low; keep revolver usage seasonal and fully repaid by June.
- **Interest coverage** (0.40x, improved vs FY2025): Headroom to service interest from operating profit (lenders often want > 3x). *Action:* Thin because EBIT is thin; profit improvement matters more than refinancing.
- **Debt service coverage** (0.74x, improved vs FY2025): Ability to meet all scheduled debt payments from operating cash earnings (> 1.25x typical covenant). *Action:* Below 1.25x would breach a typical covenant - prioritise EBITDA improvement and avoid new term debt.

7. Working capital and inventory financing



Net operating working capital is mostly inventory financed by supplier credit (DPO 30 days) and seasonal borrowing. DSO is only 2.2 days because most tenders settle within two days, so the cash conversion cycle (56 days) is driven by inventory days (84). Each 10 days of CCC is roughly $55,364 of cash at the TTM cost base.

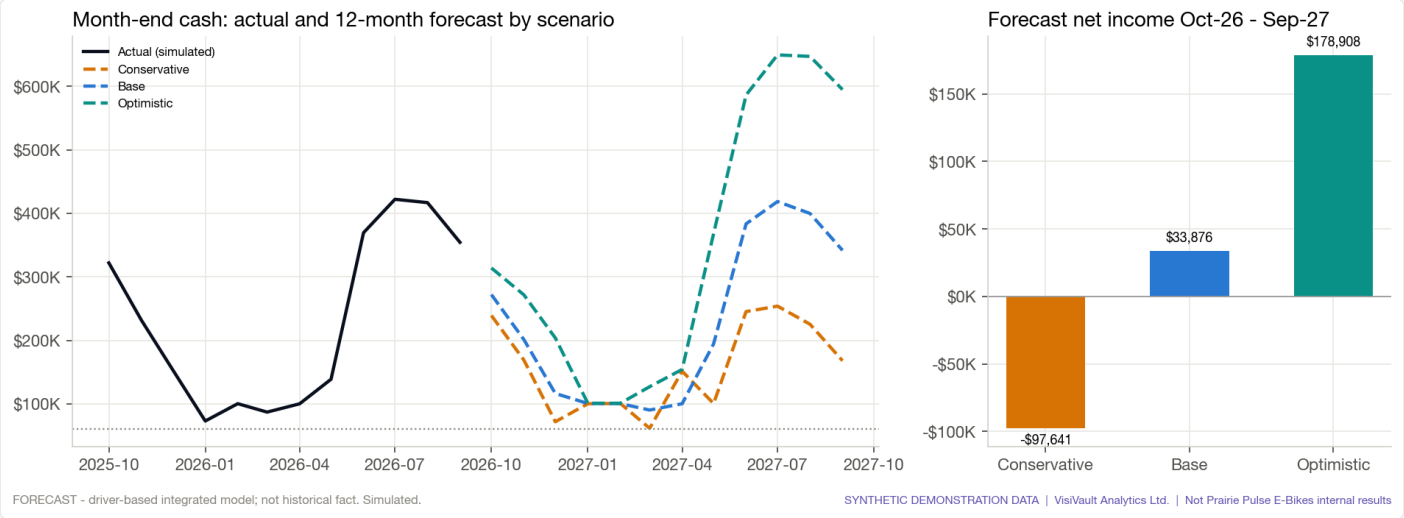
8. 12-month financial forecast (October 2026 - September 2027) - FORECAST

> Forecast, not historical fact. Base volumes are Model 1 (Prophet) forecasts; prices, discounts, unit costs and working-capital ratios are TTM calibrations; staffing, lease, marketing and capex plans are explicit monthly drivers. The integrated Excel model recalculates all three statements when any assumption changes.

12 months Oct-26 to Sep-27 (FORECAST)	Conservative	Base	Optimistic
Net revenue	3,026,573	3,274,439	3,520,753
Gross margin %	34.4%	36.2%	38.7%
EBITDA	(46,950)	89,357	275,695
Net income	(97,641)	33,876	178,908
Operating cash flow	(118,468)	55,386	308,578
Closing cash Sep-27	167,991	341,845	595,038
Lowest month-end cash	61,490	90,244	100,967
Peak revolver	237,000	197,000	101,000
Financing requirement	237,000	197,000	101,000
Average inventory	416,263	418,364	385,044

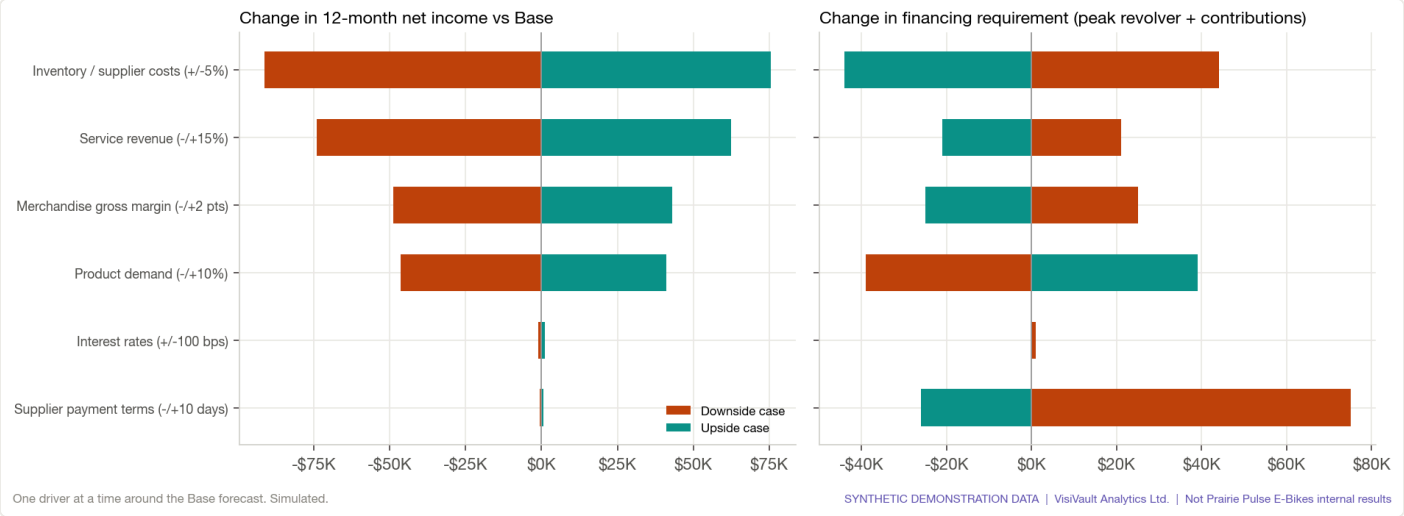
Base scenario by quarter (CAD)

Line (CAD)	2026Q4	2027Q1	2027Q2	2027Q3
Net revenue	449,971	432,211	1,324,676	1,067,580
Gross profit	164,307	174,006	470,962	376,886
EBITDA	(71,273)	(60,200)	159,963	60,866
Net income	(83,002)	(72,798)	147,006	42,670
Operating cash flow	(225,603)	(192,612)	502,802	(29,201)
Inventory purchases	363,135	332,000	467,767	669,374
Cash (quarter end)	116,356	90,244	383,546	341,845
Inventory (quarter end)	458,205	587,765	304,373	361,375
Revolver (quarter end)	0	197,000	0	0
Equity (quarter end)	505,910	433,112	580,118	622,788



Financing requirement. The Base case needs the revolver from January to May 2027 (peak $197,000); the Conservative case peaks at $237,000, leaving $113,000 headroom on the $350K line. No head-office contribution is required in any scenario. Note that the forecast is monthly: intra-month timing is covered by the $60K minimum month-end cash buffer.

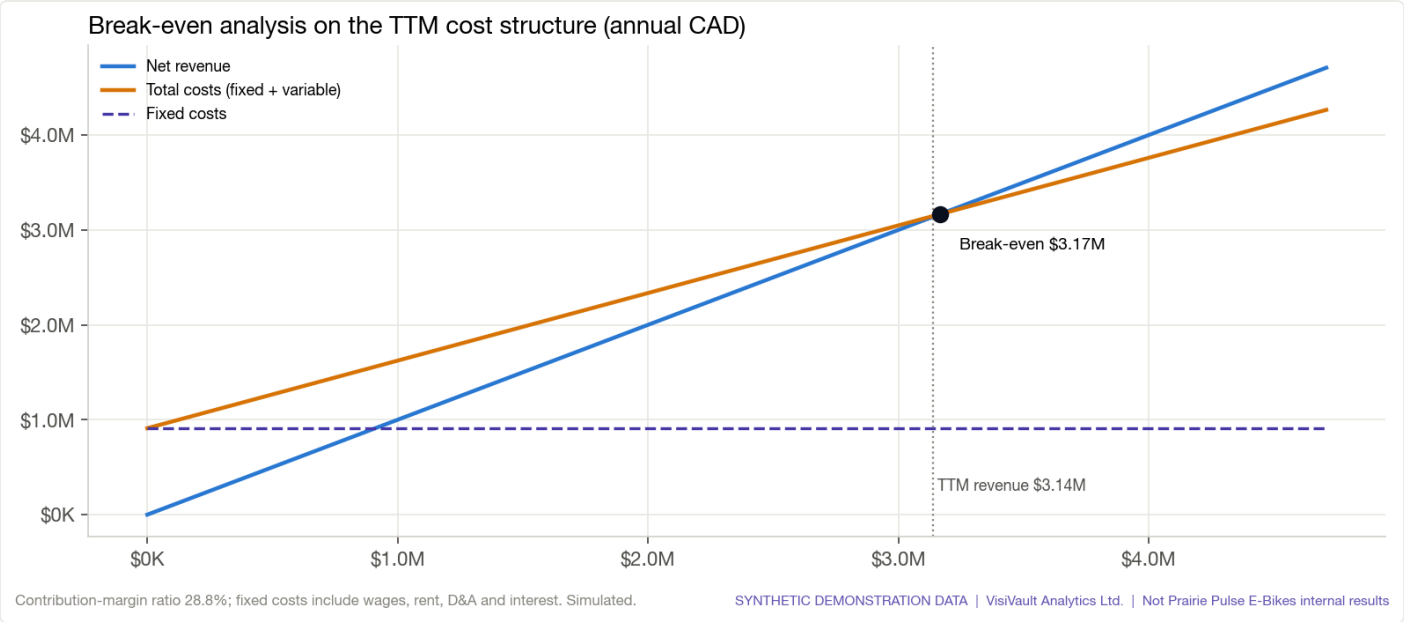
Sensitivity analysis



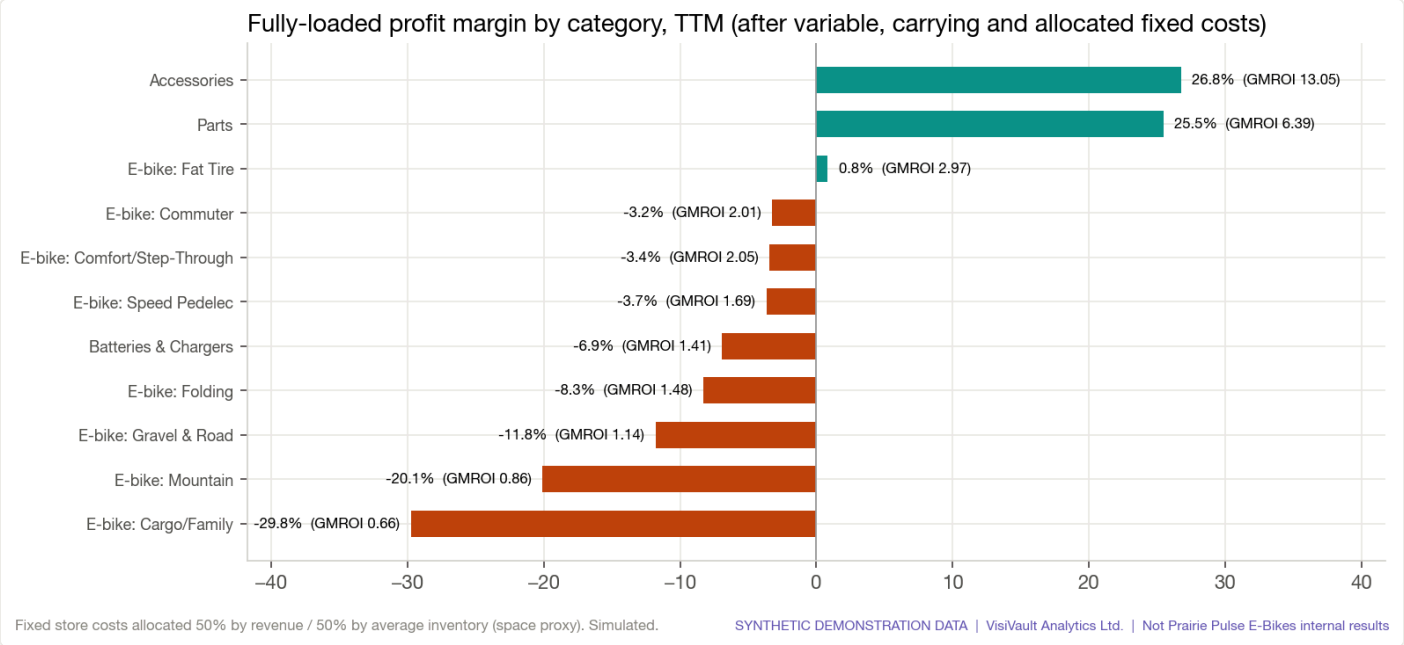
driver	case	Δ net income	Δ closing cash	Peak revolver	Δ financing req.
Product demand (-/+10%)	downside	(46,452)	(29,448)	158,000	(39,000)
Product demand (-/+10%)	upside	41,009	29,448	236,000	39,000
Merchandise gross margin (-/+2 pts)	downside	(48,969)	(63,458)	222,000	25,000
Merchandise gross margin (-/+2 pts)	upside	42,947	63,458	172,000	(25,000)
Inventory / supplier costs (+/-5%)	downside	(91,258)	(111,525)	241,000	44,000
Inventory / supplier costs (+/-5%)	upside	75,506	111,521	153,000	(44,000)
Supplier payment terms (-/+10 days)	downside	(675)	(63,864)	272,000	75,000
Supplier payment terms (-/+10 days)	upside	500	63,637	171,000	(26,000)
Interest rates (+/-100 bps)	downside	(1,105)	(1,434)	198,000	1,000
Interest rates (+/-100 bps)	upside	1,095	1,422	197,000	0

driver	case	Δ net income	Δ closing cash	Peak revolver	Δ financing req.
Service revenue (-/+15%)	downside	(74,187)	(82,498)	218,000	21,000
Service revenue (-/+15%)	upside	62,362	82,493	176,000	(21,000)

9. Break-even and product-category profitability



On the TTM cost structure, contribution margin is 28.8% of revenue and fixed costs (including D&A and interest) are $910,662 a year, so break-even revenue is $3.17M against TTM revenue of $3.14M (margin of safety -0.8%). Every $100K of extra revenue at the current mix adds about $28,767 of profit.



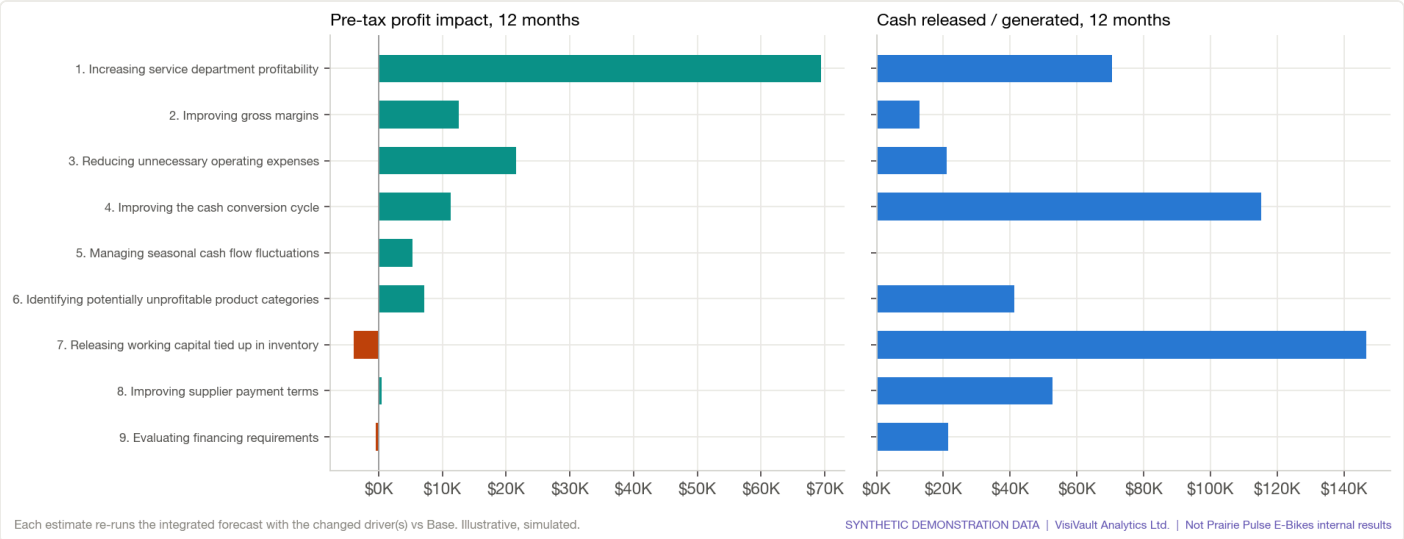
Category	Net revenue	GM %	Contribution after capital charge	Allocated fixed costs	Fully-loaded profit	Fully-loaded margin	GMROI	Assessment
E-bike: Cargo/Family	133,289	28.1%	18,325	58,008	(39,683)	-29.8%	0.66	Potentially unprofitable
E-bike: Mountain	194,313	27.8%	30,308	69,433	(39,124)	-20.1%	0.86	Potentially unprofitable

Category	Net revenue	GM %	Contribution after capital charge	Allocated fixed costs	Fully-loaded profit	Fully-loaded margin	GMROI	Assessment
E-bike: Gravel & Road	71,231	29.2%	13,630	22,043	(8,413)	-11.8%	1.14	Potentially unprofitable
E-bike: Folding	99,519	25.4%	16,279	24,543	(8,264)	-8.3%	1.48	Below full-cost break-even
Batteries & Chargers	76,090	27.7%	14,860	20,146	(5,286)	-6.9%	1.41	Below full-cost break-even
E-bike: Speed Pedelec	186,594	31.7%	41,367	48,220	(6,852)	-3.7%	1.69	Below full-cost break-even
E-bike: Comfort/Step-Through	403,070	27.0%	73,621	87,461	(13,840)	-3.4%	2.05	Below full-cost break-even
E-bike: Commuter	828,169	27.4%	155,884	182,662	(26,778)	-3.2%	2.01	Below full-cost break-even
E-bike: Fat Tire	319,958	27.5%	62,931	60,245	2,686	0.8%	2.97	Profitable fully loaded
Parts	16,512	48.3%	7,113	2,904	4,209	25.5%	6.39	Profitable fully loaded
Accessories	172,381	46.0%	71,302	25,186	46,116	26.8%	13.05	Profitable fully loaded

10. Financial management recommendations

Each estimate re-runs the integrated forecast with the changed driver(s) against Base (or uses stated arithmetic on the ledger). Impacts overlap and are not additive. They are illustrative estimates on simulated accounts, not guaranteed benefits.

#	Area / action	Pre-tax profit, 12m	Cash, 12m	Effort / timing
1	**Increasing service department profitability** Grow service 10% into unapplied technician hours and lift the hourly rate $10	69,428	70,430	Medium / 3-12 months
2	**Improving gross margins** Halve discretionary (non-promotional) e-bike discounting with an approval matrix	12,599	12,760	Low / 0-3 months
3	**Reducing unnecessary operating expenses** Flex off-season technician hours and consolidate inbound freight	21,588	21,040	Medium / 3-6 months
4	**Improving the cash conversion cycle** Combine leaner inventory and better terms: CCC 57 -> 41 days	11,301	115,269	Medium / 0-9 months
5	**Managing seasonal cash flow fluctuations** Sweep summer surplus cash to head office and pre-arrange the spring revolver peak	5,276	0	Low / 0-3 months
6	**Identifying potentially unprofitable product categories** Re-price or narrow categories with weak contribution after carrying costs	7,213	41,334	Medium / 3-9 months
7	**Releasing working capital tied up in inventory** Adopt seasonal reorder points (15% less cover) and clear slow-moving stock	(3,908)	146,645	Medium / 0-6 months
8	**Improving supplier payment terms** Move 'Prepaid/Net 15' brands to Net 30 with no order deposits	527	52,773	Medium / 3-9 months
9	**Evaluating financing requirements** Keep the $350K revolver, avoid new term debt and re-profile the term loan over 48 months	(504)	21,371	Low / 3-6 months



1. Increasing service department profitability - Grow service 10% into unapplied technician hours and lift the hourly rate $10

Expected impact (12 months): pre-tax profit $69,428, cash $70,430, peak borrowing -$14,000.

Calculation: Engine re-run with service revenue x1.10 while technician payroll stays fixed (forecast unapplied capacity $142,539): $53,993. Plus $10/h on 1,575 TTM hourly-billed hours: $15,435 before tax.

Assumptions: Demand from service memberships, winter tune-up campaigns and fleet contracts; no volume loss from the rate change (still below many Calgary dealers - to be verified).

Implementation: Winter service membership, fleet maintenance contracts, online booking; rate change at next price-list update.

KPIs: Service revenue, technician utilisation %, service gross margin %, turnaround vs promise

2. Improving gross margins - Halve discretionary (non-promotional) e-bike discounting with an approval matrix

Expected impact (12 months): pre-tax profit $12,599, cash $12,760, peak borrowing -$2,000.

Calculation: TTM discretionary bike discounts = $26,633 (1.13% of bike list revenue). Forecast engine re-run with the bike discount rate reduced by 0.56% (half the discretionary share), all else Base.

Assumptions: No volume loss (discretionary discounts are closers, not traffic drivers); promotional calendar unchanged. Elasticity risk: if half the saved discount is lost volume, impact roughly halves.

Implementation: Discount bands by role (sales expert <=3%, manager 3-7%, >7% owner); reason codes in POS; weekly exception report by sales expert.

KPIs: Average bike discount %, % of bike sales with discretionary discount, gross margin %, conversion rate

3. Reducing unnecessary operating expenses - Flex off-season technician hours and consolidate inbound freight

Expected impact (12 months): pre-tax profit $21,588, cash $21,040, peak borrowing -$13,000.

Calculation: TTM unapplied technician time = $144,974. Engine re-run with Oct-Mar technician payroll capacity reduced by 25% of forecast unapplied hours ($14,607) and freight cost per $ purchased cut 10% through consolidated weekly POs ($6,990).

Assumptions: Reduced winter hours via voluntary schedules/shared technicians with other stores; billable service capacity unaffected because only unapplied time is removed.

Implementation: Winter rota based on the Model 1 service forecast; fixed weekly PO day per distributor; carrier rate review.

KPIs: Technician utilisation %, unapplied labour $, freight as % of purchases, opex as % of revenue

4. Improving the cash conversion cycle - Combine leaner inventory and better terms: CCC 57 -> 41 days

Expected impact (12 months): pre-tax profit $11,301, cash $115,269, peak borrowing -$102,000.

Calculation: Forecast-period CCC = DIO + DSO - DPO from the engine: Base DIO 84, DSO 2.4, DPO 30; with R3 cover policy and R6 terms DIO 72, DPO 33.

Assumptions: As R3 (excluding the one-off clearance) and R6; DSO already ~2 days (card settlement) so no receivable action is modelled.

Implementation: Track CCC monthly on the dashboard (page 14); set a target CCC by season.

KPIs: Cash conversion cycle, DIO, DPO, operating cash flow

5. Managing seasonal cash flow fluctuations - Sweep summer surplus cash to head office and pre-arrange the spring revolver peak

Expected impact (12 months): pre-tax profit $5,276, cash $0, peak borrowing $0.

Calculation: Base forecast: month-end cash peaks at $418,697 (2027-07) while the revolver peaks at $197,000 in spring. Average month-end cash above $150K = $96,814; valued at the head-office cost of funds (5.45%) = $5,276/yr (group-level benefit).

Assumptions: Head office can redeploy the surplus (e.g. reduce group borrowing) and return it by February for the pre-season build.

Implementation: Monthly 13-week cash forecast from this model; automatic sweep above $150K; revolver availability confirmed each January.

KPIs: Month-end cash vs band, peak revolver, days of cash on hand

6. Identifying potentially unprofitable product categories - Re-price or narrow categories with weak contribution after carrying costs

Expected impact (12 months): pre-tax profit $7,213, cash $41,334, peak borrowing $0.

Calculation: TTM contribution by category = gross profit after returns and shrink, less merchant fees, commission, freight, 12% physical carrying cost and a 5.45% capital charge on average inventory; fixed store costs then allocated 50% by revenue / 50% by inventory (space proxy). Retail as a whole is -3.8% fully loaded; flagged (more than 5 pts below that, or GMROI < 1.0): E-bike: Cargo/Family (-29.8% fully loaded, GMROI 0.66), E-bike: Mountain (-20.1% fully loaded, GMROI 0.86), E-bike: Gravel & Road (-11.8% fully loaded, GMROI 1.14). Impact = 30% lower average inventory in flagged categories ($41,334) x (12% + 5.45%).

Assumptions: Range reduction removes slow C-class SKUs only, so revenue in flagged categories is retained via substitution; price review not included in the impact.

Implementation: Quarterly category review using the category P&L; minimum contribution hurdle of 5% after capital charge for new SKUs.

KPIs: Contribution margin % by category, inventory turns by category, GMROI

7. Releasing working capital tied up in inventory - Adopt seasonal reorder points (15% less cover) and clear slow-moving stock

Expected impact (12 months): pre-tax profit -$3,908, cash $146,645, peak borrowing -$81,000.

Calculation: Engine re-run with inventory months-of-cover x0.85 (Model 4 replay showed lower stock at equal or better service): average inventory -62,755, peak revolver -81,000. Plus one-off clearance of slow movers ($98,123 at cost, >6 months cover) at 15% below cost: cash +$83,405, P&L -14,718.

Assumptions: Service levels maintained by seasonal reorder points (Model 4); clearance proceeds at 85% of cost; storage and interest savings flow through the engine.

Implementation: Load Model 4 reorder points into the POS; monthly slow-mover review; bundle aged accessories with e-bike sales.

KPIs: Days inventory outstanding, inventory turnover, slow-moving stock $, fill rate

8. Improving supplier payment terms - Move 'Prepaid/Net 15' brands to Net 30 with no order deposits

Expected impact (12 months): pre-tax profit $527, cash $52,773, peak borrowing -$21,000.

Calculation: 27% of TTM inventory receipts come from suppliers requiring a 50% deposit and Net 15. Engine re-run with deposits removed and payment days +4.1 (weighted Net 15 -> Net 30).

Assumptions: Negotiated using the multi-store purchasing volume of the wider business; no price increase in exchange for terms.

Implementation: Group purchasing negotiation at head office; offer committed pre-season volumes in exchange for Net 30 / Net 60 dating.

KPIs: DPO, supplier deposits outstanding, peak revolver balance

9. Evaluating financing requirements - Keep the $350K revolver, avoid new term debt and re-profile the term loan over 48 months

Expected impact (12 months): pre-tax profit -$504, cash $21,371, peak borrowing -$9,000.

Calculation: Peak revolver: Base $197,000, Conservative $237,000 (headroom $113,000). Forecast DSCR (EBITDA / interest + principal) = 1.52x; TTM actual is below 1.0x. Re-profiling the $112,500 balance over 48 months ($2,344/month) lifts forecast DSCR to 2.38x and adds cash, at a small extra interest cost.

Assumptions: Lender agrees to extend amortisation at the same spread; covenants assessed at branch level for illustration only (corporate covenants would apply in reality).

Implementation: Present the integrated model to the lender; agree a seasonal borrowing base on inventory; review covenants quarterly.

KPIs: DSCR, interest coverage, peak revolver vs limit, debt-to-equity

11. Limitations and next steps

- All accounting records are simulated from synthetic operations and assumed policies; a pilot would load Prairie Pulse E-Bikes' actual POS, accounting-system trial balance, supplier terms and corporate allocation keys to replace every assumption above.
- Calgary is treated as a branch: equity, debt, tax and overhead are allocations. Consolidated statements, covenants and tax would be assessed at the corporate level.
- Not modelled: deferred tax, CCA, lease accounting (IFRS 16 / ASPE 3065 treatment of the store lease), gift-card liabilities, vendor rebates and FX on USD purchases.
- The forecast inherits Model 1's error (holdout WAPE 9-11%); the sensitivity and scenario ranges should be read alongside it.

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